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Boulevard of broken dreams: why public efforts to boost entrepreneurship and venture capital have failed – and what to do about it, by Josh Lerner, Princeton, NJ, Princeton University Press, 2009, xi + 230 pp., illus., \$27.95 (hardback), ISBN 0-6911-4219-X

The theme of *Boulevard of broken dreams* is ‘if at first you don’t succeed, try, try again’. Part history of failure, part prescription for future success, the book’s international scope is illuminating. Business historians may find this work less useful because of its focus on the post-1980 era and the absence of archival research. Nevertheless, Lerner raises issues that pose constant challenges to venture capitalists, both past and present.

Boulevard begins with a lengthy overview of the many failures at public venture capitalism, and the few successes (Silicon Valley, Tel Aviv, Singapore, and Dubai). These opening chapters highlight how and why past public efforts failed: faddism, regulatory capture, cronyism, bailouts of loser firms, excessive scale, moral hazard, and the political misallocation of investment. In this historical section, Lerner likens public venture capital to betting in a ‘massive casino’ (p. 5), with reckless actions by political leaders far more common than smart decisions made by market-driven statesmen.

Lerner accepts that government will always get involved in venture capital; therefore, he offers common-sense guidelines which boil down to the government setting the right ‘climate’ (tax incentives, rule of law) and then acting like a private venture-capital firm when directly investing in companies with high growth potential: let the market drive your decisions (rather than political considerations), be flexible, think small, plan an exit strategy, etc.

Unfortunately, this useful ‘get-it-right’ middle section is followed by more chapters returning to the theme of failure – including a final chapter examining the problems that plague sovereign funds. The result is confusion and an excess of ambiguity, largely due to the book’s organisation. Reading the first and third sections (history of failure), and then the second section (advice) would have flowed better.

Lerner’s advice is practical and uncontroversial. His recommendations are general enough to cover a wide range of national experiences. Yet one wonders

whether governments are capable of restraining themselves from acting on policy incentives that lead to cronyism and bailouts. Would democratic nations, especially, appreciate the wisdom of Lerner's two-handed economics (on the one hand, on the other hand)? The need for secrecy, he notes, works against the constant democratic demand for transparency. Implicitly, the advice leans against democratic success and toward authoritarian political economy and/or the military-industrial complex. For example, the USA success stories evolved from the Department of Defense and the Central Intelligence Agency! Indeed, Lerner begins and ends his book by highlighting Singapore as a country that gets it right.

From beginning to end, Lerner warns readers that there is much ambiguity in his analysis. Past public efforts failed but government always aided the successful hubs of entrepreneurship that did develop. If anything, Lerner is fair and balanced to a fault: the ambiguity, nuance, and frequent caveats lead the reader to ask whether, on balance, public venture capitalism is worth doing. After all, the alternative to 'try, try again' is 'doing the same thing over and over again and expecting different results' – the classic definition of stupidity.

There are no easy answers offered, just good advice summed up in the introduction and conclusion. Lerner lays out the problems and prospects and lets readers decide for themselves. This small volume is a handy reference for those looking for an honest primer on public venture capital.

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This time is different: eight centuries of financial folly, by C.M. Reinhart and K.S. Rogoff, Princeton, NJ, Princeton University Press, 2009, xlv + 463 pp., £19.95 (hardback), ISBN 0-6911-4216-6

This 'time' is the Credit Crunch of 2007/08 and the answer is, No, it's not. The message of the authors is that we are doomed to repeat the financial mistakes of the past because human nature never changes, only the means through which we continually delude ourselves into believing it will be different this time around. They reach that conclusion by surveying financial crises of all kinds over the centuries, though their focus is very much on recent events in the USA. Their aim is to try and explain the causes of the Credit Crunch and then predict its consequences, using examples drawn from the recent rather than distant past, especially the last 200 years. As such this is not a history of financial crises in the conventional sense but a commentary on the present using the knowledge of the past. The strength of this approach is that it provides valuable insights into why the world has once again experienced a financial crisis that can rank alongside the Wall Street Crash of 1929 in magnitude. The weakness is that it emphasises the similarities between financial crises rather than the differences in terms of cause, course, and consequence. This reminds me of the old joke beloved of Christmas crackers. To the question of why did the bald man paint rabbits on his head, the answer was that from a distance they looked like hares! There are both similarities and differences between financial crises and if we are to avert them in the future we

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